TEACHER GUIDE

OCR A Level Business (H436)

# Revenue, costs and profit

5. Finance
**5.2 Costs, revenue, profit and loss · 5.2.1, 5.2.3**



A revision lesson. Pupils run a car dealership in firms of four and revise revenue, costs and profit on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Variable unit cost

Round 1

Split the costs.

**Variable cost per car?**

| | |
|---|---|
| Total costs, a month | **£52,350** |
| Fixed costs, a month | **£4,750** |
| Cars sold | **4 cars** |

**ANSWER**

**£11,900**

(£52,350 − £4,750) ÷ 4 = £11,900

**Why:** Take the fixed costs off first. Then share the rest between the cars.

## 2 Why profit fell

Round 1

Revenue rose 10% this year, but profit fell.

**Which two could explain this?**

**A** Variable costs rose faster
**B** Overheads fell
**C** Fixed costs jumped this year
**D** Prices were raised
**E** More cars sold at the same margin

**ANSWER**

**✓ Variable costs rose faster**
**✓ Fixed costs jumped this year**

**Why:** Profit falls when costs grow faster than revenue.

## 3 Statement in order

Round 2

You read your income statement from the top.

**Put these in order, top first?**

**A** Gross profit
**B** Operating profit
**C** Revenue
**D** Profit for the year

**ANSWER**

**1. Revenue**
**2. Gross profit**
**3. Operating profit**
**4. Profit for the year**

**Why:** Revenue less cost of sales, then overheads, then interest and tax.

# Topic tasks

## 4 Profit after tax

Round 2

Year-end figures.

**Profit after tax for the year?**

| | |
|---|---|
| Gross profit | **£73,000** |
| Overheads | **£40,500** |
| Interest paid | **£1,000** |
| Tax on the profit | **25%** |

**ANSWER**

**£23,625**

£73,000 − £40,500 − £1,000 = £31,500; − 25% = £23,625

**Why:** Tax is taken from the profit after interest: £7,875.

## 5 Costs or revenue

Round 3

Revenue is £200,000 and costs £180,000. Raise prices so revenue rises 5%, or cut costs 5%?

**Which raises profit more, and why?**

**A** Cut costs by 5%

**B** Raise revenue by 5%

**ANSWER**

✔ **Raise revenue by 5%**

**Why:** 5% of £200,000 is £10,000; 5% of £180,000 is £9,000.

## 6 Profit next year

Round 3

Next year's plan.

**Profit next year? Minus allowed.**

| | |
|---|---|
| Revenue | **£105,000** |
| Revenue rises by | **20%** |
| Costs | **£66,000** |
| Costs rise by | **25%** |

**ANSWER**

**£43,500**

£126,000 − £82,500 = £43,500

**Why:** Revenue and costs both change. Work out each new figure first.

# Final questions

Each pupil answers 6 final questions on revenue, costs and profit. They come from these 8 questions.

Then each pupil writes one short answer: “Evaluate cutting costs or raising price to grow profit.”

1 A car supermarket records revenue of £1,260,000 and cost of sales of £945,000. What is its gross profit?

✔ **£315,000**

2 A workshop pays £14,000 a month in rent and salaries plus £38 of parts per service. With 250 services, what are total costs?

✔ **£23,500**

3 A workshop has fixed costs of £18,000 a month and variable costs of £60 per service. With 300 services, what are total costs?

✔ **£36,000**

4 A dealer’s month: revenue £84,000, fixed costs £25,000, variable costs £41,000. What is the profit?

✔ **£18,000**

5 A dealer sells 40 cars at £9,500 each. Each car cost £8,200 and fixed costs are £30,000. What is the month’s profit?

✔ **£22,000**

6 Which cost of a dealership is a variable cost?

✔ **Fuel to prepare each car sold**

7 A repair chain’s total costs are £240,000 for 400 services. What is the average (unit) cost of a service?

✔ **£600**

8 A dealer’s revenue is £1,000,000, cost of sales £820,000 and other expenses £110,000. What is gross profit?

✔ **£180,000**